

value chain where digital can be of great help.” The change in the consumer’s mindset from looking for brick, cement, steel and labour will be about wanting a solution. Of course, all this means that Saint-Gobain will now deal with the end consumer without any third-party intervention.

Interestingly, the move from B2B to B2C is not new in India. Analysts say there is sound business logic for players to do that. “There is limited growth from a single product category or a single business channel. To realise further growth, a firm has to either widen its product portfolio or build multiple distribution channels. Besides, getting closer to the consumer helps businesses in product innovation based on direct feedback,” says Harshit J. Kapadia, Vice President at Elara Securities. He cites the example of HSIL, owners of the Hindware sanitary ware brand, that launched Hindware Appliances. “When it comes to profitability, the margins in the long term for a B2C channel are higher than what one sees in a B2B business,” he adds.

While the opportunity looks significant, it is not devoid of challenges. Kapadia says that management bandwidth is taken away in managing a B2C business or in creating a new one. “Ideally, there should be a separate team for the B2C channel. Besides, a company needs to get the right channel partners and offer the right incentives apart from constantly innovating products when it comes to B2C,” he says.

DIGITAL ALL THE WAY

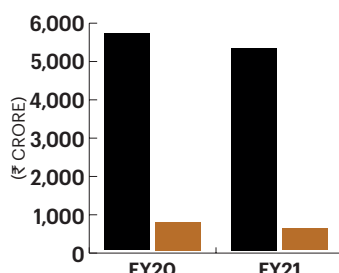
Last November, Saint-Gobain picked up a minority stake in Livspace, a digital-first intermediation platform that offers end-to-end solutions for home

MAKING IT COUNT

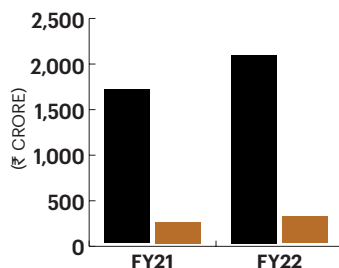
Saint-Gobain aims to increase its combined revenues to ₹30,000 crore by 2030

■ TOTAL REVENUE ■ NET PROFIT

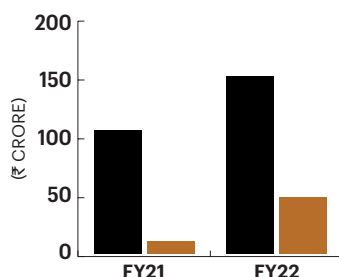
SAINT-GOBAIN INDIA PVT. LTD



GRINDWELL NORTON LTD



SAINT-GOBAIN SEKURIT INDIA LTD



THE COMBINED REVENUE FOR THE FIRST NINE MONTHS (JAN-SEPT) OF 2022 IS ₹9,000 CRORE AND THE THREE ENTITIES IN INDIA ARE EXPECTED TO END THE YEAR AT ₹12,000 CRORE

SOURCE ANNUAL REPORT, ROC

interiors. “We bring the expertise and solutions, while Livspace has built up relationships with its customers,” says Santhanam. Today, Livspace, that turned unicorn this February, serves around 25,000 homes annually in India and counts the likes of Ingka Group Investments, Jungle Ventures, Venturi Partners and Peugeot Investments among its investors. Meanwhile, Saint-Gobain’s investment in Livspace will allow the French major to pick up insights into consumer behaviour, technology and supply chain while also promoting its solutions under the Saint-Gobain brand.

“One of the lesser talked about aspects of the pandemic is an increase in disposable income. A part of this discretionary spending, especially for homeowners, has gone towards home renovation projects—to improve the new ‘home office,’” says Saurabh Jain, Co-founder and CEO of Livspace India. It’s not just the workspace where the money is being spent. “There has been significant interest in renovating specific spaces such as the balcony area, kitchen, and wardrobe; more specifically in the non-metros. In an average home, modular solutions make up over 50 per cent of the renovation spending, with that number being higher in non-metros,” he points out.

This spending is quite marked when one looks at homeowners moving into new apartments and high-rises. Jain estimates the size of the home improvement market in India to be at around \$30 billion. “More than 95 percent of it is unorganised, serviced by independent interior designers, contractors, and labourers,” explains Jain. On the issue of the accelerated adoption of tech across consumer segments, he maintains that there has been a substantial shift in an industry known to be high on touch and feel. “Today, we see customers comfortable with